Zepto Inventory & Pricing Strategy Report

Exploratory Data Analysis (EDA) & Operations Optimization Brief | Prepared for Executive Leadership

TOTAL PRODUCTS
3,435
Active SKUs across 14 categories

EST. REVENUE POTENTIAL
₹24.01L
Valuation of active dark store stock

STOCKOUT EXPOSURE
₹34,648
399 SKUs unfulfilled (11.6% catalog)

CATALOG FOCUS
91.18%
Packs under 1kg (Quick-Comm standard)

1. EXECUTIVE SUMMARY

This report presents a structured analysis of Zepto's inventory assortment, pricing architecture, discount efficiency, and dark store inventory distribution. Based on an audited dataset of 3,435 active SKUs, the analysis evaluates how operational constraints—such as rider payload capacities and dark store replenishment rates—shape product selection and revenue performance.

2. CATEGORY REVENUE VALUATION

Total inventory revenue potential is heavily concentrated in high-frequency household consumption categories. **Cooking Essentials** and **Munchies** lead total inventory valuation, while fresh categories operate on lean inventory models to minimize waste.

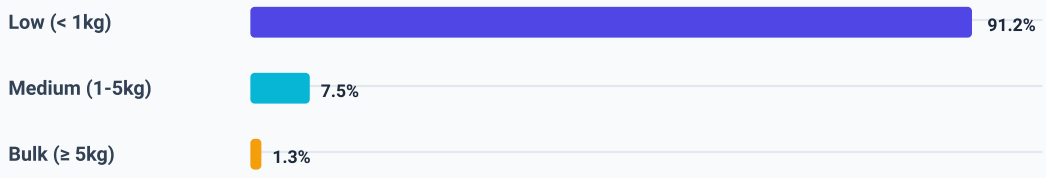
Category Name	SKU Share	Avg Discount	Est. Total Revenue (₹)
Cooking Essentials	High	6%	₹3,23,216
Munchies	High	7%	₹3,21,512
Personal Care	Mid	5%	₹2,43,989
Packaged Food	Mid	8%	₹2,13,949
Dairy, Bread & Batter	Mid	4%	₹52,811
Fruits & Vegetables	Lean	15%	₹10,588

Strategic Insight: Fast-Turnover vs. High-Value Inventory
Fresh Produce (₹10,588 total valuation) and Dairy (₹52,811) maintain low inventory carry amounts to maximize stock turnover and prevent spoilage. Conversely, ambient categories carry larger buffer stocks, accounting for over 45% of total warehouse revenue potential.

3. WEIGHT CLASSIFICATION & DELIVERY OPTIMIZATION

Quick-commerce logisitics require optimizing dark store picking and rider payload capacities. Products were categorized into **Low (<1kg)**, **Medium (1-5kg)**, and **Bulk (≥5kg)** tiers to evaluate catalog weight distribution.

Catalog Distribution by Pack Weight (SKU Share vs. Stock Share)



4. TOTAL WAREHOUSE INVENTORY WEIGHT

Dark store physical storage requirements are dominated by bulk staples and multi-pack snacks. Below is the total measured physical weight per category across all stored units:

Weight Category	Total SKUs	Total Units	Avg MRP (₹)	Operational Impact
Low (< 1 kg)	3,132	12,829	₹141	Optimized for 10-min rider delivery bag limit
Medium (1 kg – 5 kg)	259	1,049	₹263	Standard grocery orders (oil bottles, flour)
Bulk (≥ 5 kg)	44	232	₹617	Selective stocking (large rice bags, oil jars)

Warehouse Payload Analysis
Cooking Essentials (~1.35 tonnes) and **Munchies** (~1.35 tonnes) combined represent over 50% of total physical warehouse weight. Bulk items (≥5kg) carry a significantly higher average price point (₹617), but are strictly capped at 1.28% of catalog SKUs to prevent rider transport bottlenecks.

5. PRICE TIER SEGMENTATION

Products are segmented into three price tiers to evaluate catalog affordability and premium balance. Zepto maintains a heavy focus on impulse purchase and daily commodity pricing.

Price Tier	SKU Count	SKU Share	Stock Units	Stock Share
Budget (≤ ₹100)	1,589	46.26%	5,988	42.44%
Mid-Tier (₹101 – ₹300)	1,487	43.29%	6,545	46.39%
Premium (> ₹300)	359	10.45%	1,577	11.18%

6. PROMOTIONAL DISCOUNT DYNAMICS

Promotions serve dual purposes: driving customer acquisition and clearing trailing inventory. Discount depth varies significantly by category lifecycle.

Category / Tier	Avg Discount	Strategic Role
Fruits & Vegetables	15%	**Acquisition Driver** Loss-leader pricing for basket building
Meats, Fish & Eggs	11%	**Conversion** Margin subsidy to drive fresh protein trial
Packaged Foods / Biscuits	8%	**Standard Promotion** Competitive parity with traditional retail
Cooking Oils (>₹500 MRP)	0% – 8%	**Margin Protect** High-value essentials sold near full MRP
Deep Clearance Tier	50% – 51%	**Clearance** Final stock clearance (e.g., Ceres Masala, Waffy)

Margin Protection Insight
While fresh categories use aggressive discounts (up to 15%) to attract shoppers, high-value kitchen staples like *Saffola Gold (₹1,240)* and *Fortune Soyabean Oil (₹1,005)* maintain 0% discounts. This preserves unit margins on inelastic daily essentials.

7. STOCKOUT & UNFULFILLED REVENUE RISK

Across all categories, **399 SKUs are out of stock**, representing **₹34,648 in lost revenue potential**. Stockouts in core categories impact top-line performance and customer retention.

Risk Category	Stockout SKUs	Lost Revenue (₹)	Avg Price / Item	Impact Level
Munchies	57	₹5,264	₹92.35	High Revenue Risk
Cooking Essentials	57	₹5,232	₹91.79	High Revenue Risk
Chocolates & Candies	42	₹3,569	₹84.98	Mid-High Risk
Meats, Fish & Eggs	10	₹1,817	₹181.70	High Ticket Loss
Fruits & Vegetables	4	₹277	₹69.25	Low Risk (Tight Supply)

8. STRATEGIC RECOMMENDATIONS

Based on the EDA findings, executive management should implement the following operational adjustments:

Action Plan for Inventory & Margin Optimization

1. Automated Reorder Points for Munchies & Cooking Essentials: Munchies and Cooking Essentials account for 30.29% of total lost revenue. Implementing dynamic safety stock levels based on real-time sales velocity will reduce out-of-stock events.

2. Protect Premium Stockouts: Although *Meats, Fish & Eggs* has only 10 stockout SKUs, it carries the highest average unit price (₹181.70). Preventing stockouts here protects high average order values (AOV).

3. Payload-Aware Assortment Planning: With 91.18% of products under 1kg, expansion should focus on high value-density items (e.g., personal care, premium snacks) rather than heavy bulk goods to optimize rider delivery efficiency.